capacity were badly hit. In this milieu, the government since then, has shown serious resolve regarding strong social sector and increasing emphasis on this sector, specially education and health.

The idea of common minimum programme had a direct bearing on the social sector and ultimately got a new target-oriented meaning in the current government's (National Common Minimum Programme). At present the government is giving top priority and increased emphasis to this sector in the following manner:

(i) Poverty alleviation (nutrition) got a new meaning in the NREGA.

(ii) Health is getting a hefty part of the government expenditure.

(iii) Drinking water programmes being run under the targets of the Planing Commission, which are easy to monitor.

(iv) Education (specially primary one) getting more emphasise.

(v) All programmes targeting quality improvement in the lives of the poor people are being synchronised and more focused now.

Q. 14 Write a short note on the new ideas, promoted by the Twelfth Finance Commission in the area of fiscal management.

Ans. The President has been asking all Finance Commissions (FCs) to advise on the issue of deteriorating fiscal situation of the economy (Centre's as well states') since the Tenth FC. Though the Centre has tried to improve its fiscal situation via many tools since then, there has been almost no major step taken to do the same in the case of states—their situation had worsened throughout the 1990s. The recommendations of the 12th FC are considered as a watershed example in this regard, which could be considered as the new ideas pointing towards fiscal prudence among states:

(i) *Consolidation of the States loans:* The commission recommends that once the states pass their Fiscal Responsiblity Acts (FRAs) (on the lines of centre's FRBM Act) their loans raised upto March 31, 2004 would be converted into fresh loans for a further 20 years, that too on a cheaper interest rate of 7.5 per cent p.a. (This would cost the Centre Rs.30,000 crores).